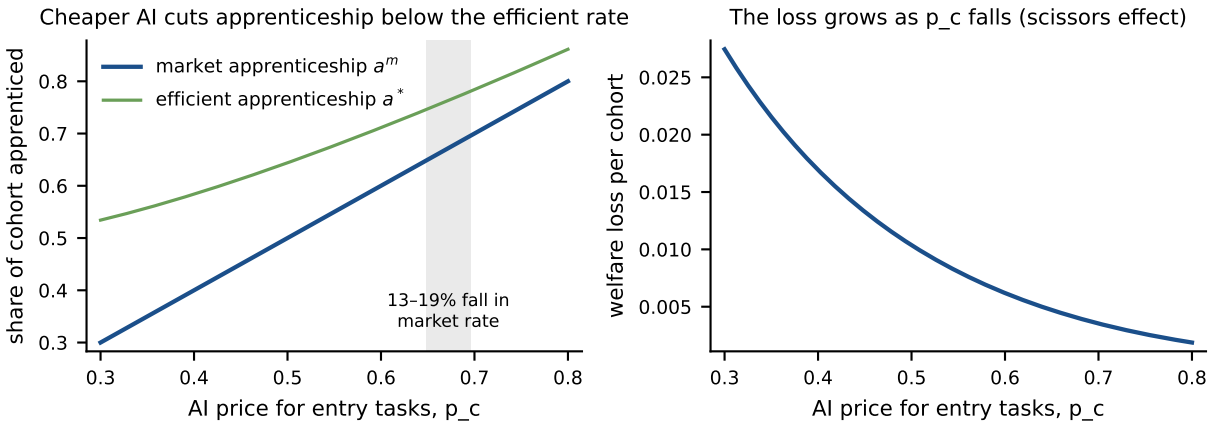
Cheaper AI cuts apprenticeship below the efficient rate
market apprenticeship a^m
efficient apprenticeship a^*
13–19% fall in market rate
share of cohort apprenticed
0.3
0.4
0.5
0.6
0.7
0.8
AI price for entry tasks, p_c
The loss grows as p_c falls (scissors effect)
welfare loss per cohort
0.005
0.010
0.015
0.020
0.025
AI price for entry tasks, p_c